

pressures on others,” he says.

But beyond this very obvious issue, several other equally pressing matters await Malhotra’s attention. The Indian rupee, which has been depreciating steadily, now faces more pressure as Donald Trump takes charge as the next US President in late January 2025. From 63.04 against the US dollar on December 31, 2014, the Indian rupee has depreciated to 84.92 as of December 17, 2024. CareEdge Ratings expects the rupee to trade around 84 by the end of FY25 and between 84 and 86 by the end of FY26.

This is not all.

Trump’s victory has also brought Bitcoin back into the spotlight. The cryptocurrency recently surpassed the \$100,000-mark, delivering an extraordinary return of around 130% since the start of the year. This rally is largely attributed to Trump’s pro-crypto stance.

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However, Trump’s promise to transform the US into “the crypto capital of the planet” and establish a “strategic reserve” of Bitcoin has reignited debates in India. Das had consistently warned against cryptocurrencies, calling them a “huge risk to financial and monetary stability”.

Overleveraging by households is another major challenge for Malhotra, as unchecked debt accumulation risks undermining financial stability and jeopardising the economic prospects of India’s youth.

India’s net financial household savings rate has plummeted to 5.3% in FY23, the lowest in 47 years, down from 7.3% in FY22. This steep decline is largely attributed to a surge in household borrowing, which has eroded savings as debt liabilities mount.

Rajeev Jain, MD of Bajaj Finance, mentioned in a Q2FY25 earnings conference call that customers with three or more live unsecured loans are showing a higher propensity to default and, in general, exhibit lower

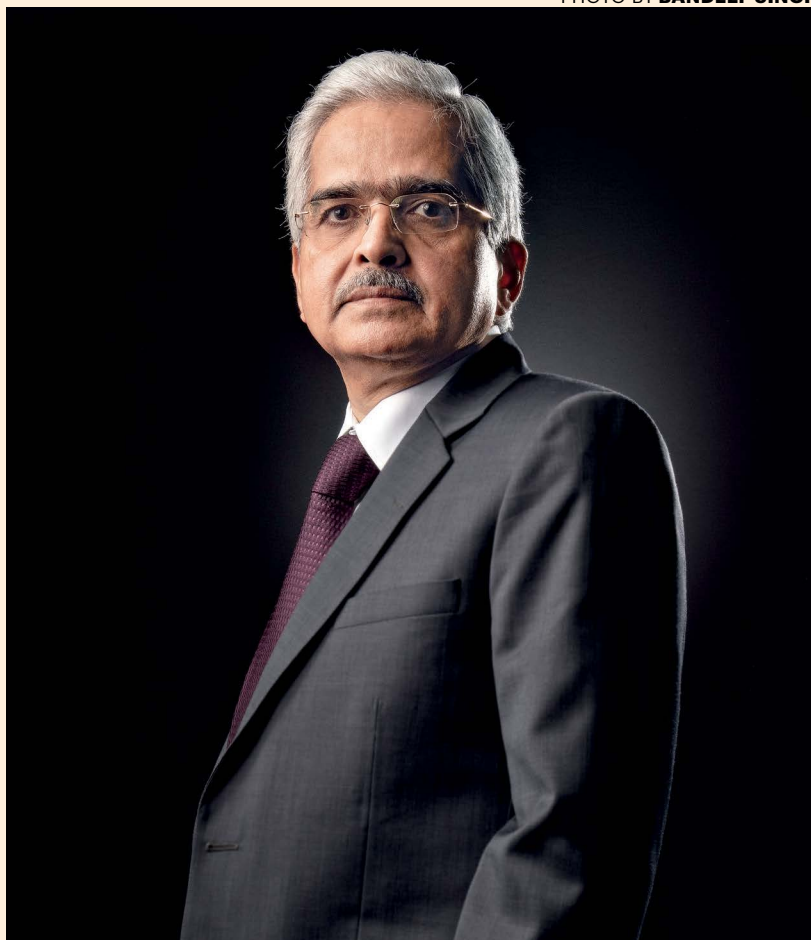


PHOTO BY BANDEEP SINGH

STABILITY Former RBI Governor Shaktikanta Das had one of the longest tenures at the head of the central bank

downstream collection efficiencies.

Regulations and the agility with which the RBI takes decisions are other key points to watch, particularly as defaults in the microfinance sector have shown an uptick. Das was known for acting swiftly at the first sign of froth in the sector.

Sridharan sums up the agenda for Malhotra. “The RBI faces several critical challenges. These include scaling up Indian banks to achieve global competitiveness, particularly as bank balance sheets have been strengthened under the leadership of Shaktikanta Das,” he says.

Furthermore, with the rapid evolution of emerging technologies,

the RBI must focus on regulating their use by its regulated entities. This will require the central bank to build internal capabilities and strengthen its supervisory frameworks to keep pace with technological advancements.

Clearly, a rate cut is just one of the issues in front of Malhotra, whose plate is already full at the start of his three-year term. His predecessor, Das, was known for performing a balancing act and managing political expectations. Malhotra, too, will have to walk this tightrope. **BT**

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